PROP FIRM CHEAT SHEET

How prop firms work, the rules that fail people, and what to check before you pay.

HOW PROP FIRMS WORK

Step 1
Evaluation
You pay a fee and trade a practice account under the firm's rules. Hit the profit target without breaking a rule and you pass. Break one rule and the account ends.

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Step 2
Funded account
You get a funded account. At most firms this is still simulated trading. The firm pays you a share of the profit it shows. Some firms charge an activation fee here.

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Step 3
Payout
After the conditions are met (profitable days, a minimum balance, sometimes a consistency rule), you request a withdrawal. You receive your split. Taking a payout can change your drawdown, so read the payout rules before you request one.

Most of a firm's income comes from evaluation fees. Moving to a live account, where it exists at all, is the firm's decision after a review. It is never automatic.

THE RULES THAT FAIL PEOPLE

Daily loss limit
The most you may lose in one day. Touch it and the day ends; at some firms the account ends too.

Max drawdown (maximum loss limit)
The lowest balance your account may ever reach. Touch it once and the account is gone. It comes in three kinds:

- **Static:** the floor never moves. Easiest to plan.
- **EOD trailing:** the floor rises only when you close the day at a new high. Intraday dips are ignored.
- **Intraday trailing:** the floor follows your highest balance at any moment, open profit included. Giving back an open winner raises your floor for good. The tightest of the three.

> Most trailing floors stop rising at a set level (the "lock"). Know where yours locks.

Consistency rule
Limits how much of your total profit can come from your best day. One huge day can block a pass or a payout. **Example: 40% to 55%** at the firms we reviewed, Sept 2026. Check your firm's current rules.

Max contracts
The largest position you may hold. 10 micros usually count as 1 mini. It is a ceiling, not a target. **Example: 3 to 6 minis** on a $50K evaluation across four firms, Sept 2026. Check your firm's current rules.

News rules
Some plans ban trading around major releases (CPI, FOMC, NFP) or around a set window. Others allow it. Breaking a news rule can end the account even if you made money.

Minimum trading days
How many days you must trade before passing or before a payout. **Example: none to 5 days** across firms, Sept 2026. Check your firm's current rules.

Payout split
The share of profit you keep. **Example: 80% to 100%** at the firms we reviewed, Sept 2026. Check your firm's current rules.

Payout buffer
The profit you must leave in the account, or the balance you must stay above, when you withdraw. After a payout, some firms reset or fix the drawdown. Check your firm's current rules.

RULE CHECK BEFORE YOU BUY

- [ ] I have read the firm's official rule pages, not a video or a review site.
- [ ] I know whether there is a daily loss limit, and what happens if I touch it.
- [ ] I know the news rules and the times I must be flat.
- [ ] I know the minimum trading days, the payout conditions, the split and the buffer.
- [ ] I have checked the firm's track record and complaints, and I have saved today's rules (they change).
- [ ] I know the max drawdown amount, whether it is static, EOD trailing or intraday trailing, and where it locks.
- [ ] I know the max contracts for my account size, and how micros count.
- [ ] I know the consistency rule for passing AND for payouts (they can differ).
- [ ] I know every cost: the fee, the monthly charge, the reset, the activation, the data.

Education only. Not financial advice. Most traders fail evaluations.

PROP FIRM CHEAT SHEET

How to survive the evaluation

RISK PER TRADE → MNQ CONTRACTS

ACCOUNT (EXAMPLE MAX DRAWDOWN)	RISK 2.5% OF DRAWDOWN	RISK 5% OF DRAWDOWN	RISK 10% OF DRAWDOWN
$50K ($2,000)	$50 → 2 / 1 / 0	$100 → 5 / 2 / 1	$200 → 10 / 5 / 3
$100K ($3,000)	$75 → 3 / 1 / 1	$150 → 7 / 3 / 2	$300 → 15 / 7 / 5
$150K ($4,500)	$112.50 → 5 / 2 / 1	$225 → 11 / 5 / 3	$450 → 22 / 11 / 7

Example accounts; the drawdown amounts are examples, check your firm's current rules.

How to use: 1) Risk budget = max drawdown × your risk %. 2) Risk per MNQ contract = stop in points × $2 (MNQ = Micro E-mini Nasdaq-100: $2 per index point, and a 0.25-point tick = $0.50). 3) Contracts = budget ÷ risk per contract, rounded DOWN. If the result is 0, don't take the trade, or use a tighter stop only if your setup allows it.

Cell = risk budget → MNQ contracts at a 10 / 20 / 30-point stop.

10% of the drawdown = 10 full losses before the account ends. 5% = 20. 2.5% = 40.

Never go above your plan's max contracts (10 MNQ usually count as 1 NQ). On a trailing drawdown, don't size up after a winning run — the floor rose too, so your room did not grow.

BEFORE THE SESSION

- Write down your room: balance minus floor. That number, not your balance, sets today's size.
- Check the calendar and mark no-trade times around news.
- Set your daily stop (see the card below) in the platform if you can.
- Pick your size from the table. Write it down.

DURING THE SESSION

- Every trade has a stop placed at entry.
- Same size on every trade. No adding to losers.
- Log each trade as you take it.
- On intraday trailing: take partial profit or move your stop. Don't let open profit come back.

AFTER THE SESSION

- Update your room (balance minus the new floor).
- Mark every rule you followed or broke. Be honest; nobody else sees it.
- Check your best day against the consistency rule.
- Write one line on what to repeat and one on what to change.

5 ACCOUNT KILLERS AND THE FIX

1 **KILLER:** Sizing to the contract limit.
FIX: Size from your stop and a fixed 5–10% of the drawdown, using the table above.

2 **KILLER:** Revenge trading after a loss. The next trade is bigger and faster.
FIX: After 2 losses in a row, take a 15-minute break. After the daily stop, you are done.

3 **KILLER:** Letting a big open winner come back on an intraday trailing account.
FIX: The floor already moved up with the open profit. Take partial profit or trail your stop.

4 **KILLER:** Holding through news or past the close.
FIX: Put release times and the close time in your calendar. Be flat 2 minutes before each.

5 **KILLER:** One huge day that breaks the consistency rule.
FIX: Set a daily profit cap below the consistency limit, and stop when you reach it.

STOP FOR THE DAY WHEN ANY ONE IS TRUE:

- I have lost half of my daily loss limit (or 25% of my room, if my plan has no daily limit).
- I have taken 3 full losses.
- I broke one of my own rules, even once.
- I reached my daily profit cap.
- I feel the urge to "win it back".

Stopping keeps you in the game for tomorrow.

Go deeper: the Prop Firm Mastery track in the course covers each of these in full. Rules (PF-04), sizing and the risk plan (PF-06), payouts and buffers (PF-07), psychology (PF-08) and the real cost of evaluations (PF-10).

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